

Performance Management and Appraisal Policy

Describes the annual performance cycle, rating framework, and linkage to compensation decisions.

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Applicability	All confirmed employees	Review Cycle	Annual

1. Purpose

This policy outlines the organization's performance management framework, including goal setting, continuous feedback, formal appraisal cycles, rating calibration, and the linkage of performance outcomes to compensation and career progression decisions.

2. Performance Cycle Overview

The performance year runs from 1 April to 31 March. The cycle consists of four phases: goal setting, mid-year check-in, year-end self-assessment, and manager evaluation with calibration.

Phase	Timeline	Key Activity
Goal Setting	1-30 April	Employee and manager jointly set 3-5 SMART goals in the PMS
Mid-Year Check-in	1-15 October	Progress review, goal recalibration if business priorities shift
Year-End Self-Assessment	1-15 March	Employee rates self against goals with supporting evidence
Manager Evaluation	16-31 March	Manager rating, peer feedback review, calibration
Calibration & Sign-off	1-15 April	Cross-functional calibration committee normalizes ratings

3. Rating Scale

Rating	Label	Guideline Distribution	Definition
5	Outstanding	5-8% of workforce	Consistently exceeds all goals; sets benchmark for role
4	Exceeds Expectations	15-20%	Surpasses most goals with measurable impact
3	Meets Expectations	55-65%	Achieves goals as planned; solid, reliable performance

Rating	Label	Guideline Distribution	Definition
2	Needs Improvement	8-12%	Falls short of key goals; improvement plan required
1	Unsatisfactory	2-5%	Significant underperformance; formal PIP mandatory

4. 360-Degree Feedback

Employees at Manager grade and above are subject to 360-degree feedback as part of the year-end evaluation, incorporating input from peers, direct reports, and cross-functional stakeholders. A minimum of 4 respondents is required for feedback to be considered valid in calibration. Feedback is qualitative and is not directly averaged into the numeric rating, but informs the manager's final assessment narrative.

5. Performance Improvement Plans (PIP)

Employees rated 'Unsatisfactory', or 'Needs Improvement' for two consecutive cycles, are placed on a formal Performance Improvement Plan. A PIP runs for 60 to 90 days, with specific, measurable objectives and bi-weekly check-ins with the manager and HR Business Partner. Failure to meet PIP objectives may result in separation, in accordance with the Termination and Exit Policy (HR-POL-013).

6. Linkage to Compensation

Annual merit increase and variable pay payout are directly linked to the final calibrated rating, modulated by the organization's overall performance and the employee's compa-ratio within their grade band. Employees rated 'Unsatisfactory' are not eligible for merit increase or variable payout in that cycle, and are ineligible for internal job postings for the duration of any active PIP.

7. Promotion Nominations

Promotion nominations are considered during the April calibration cycle for employees who have consistently rated 'Exceeds Expectations' or above for at least 2 consecutive cycles, and have completed a minimum of 18 months in their current role. Nominations require manager endorsement and approval from the calibration committee.

8. Disputes and Appeals

An employee who disagrees with their final rating may file an appeal with their HR Business Partner within 10 working days of the rating being communicated. The appeal is reviewed by a panel comprising the skip-level manager and an HR representative not involved in the original calibration. The panel's decision is final.

9. Frequently Asked Questions

Q: What happens if I change managers mid-cycle?

A: Both the outgoing and incoming manager provide input, with the incoming manager responsible for the final rating if they have managed the employee for at least 3 months of the performance cycle. Otherwise, the outgoing manager's assessment carries primary weight.

Q: Is the rating distribution a strict forced curve?

A: No. The percentages in Section 3 are guidelines used to detect calibration bias across teams, not a mandatory forced-ranking quota applied within every individual team.